# PRADHAN MANTRI MUDRA YOJANA (PMMY) - MICRO-ENTERPRISE CREDIT SCHEME

***SUPPLEMENTARY REFERENCE - Compiled from Official Government Portals (November 2026)***

*Department of Financial Services, Ministry of Finance, Government of India | Level: Central | Category: MSME, Livelihood & Business Loans*

*Official Portal: https://www.mudra.org.in*

## 1. Overview & Loan Categories

Pradhan Mantri MUDRA Yojana (PMMY) provides collateral-free institutional credit up to Rs 10 Lakh to micro and small non-farm, non-corporate enterprises. Loans are classified into three stages:

- Shishu: Loans up to Rs 50,000 (for starters/early-stage micro units).
- Kishore: Loans from Rs 50,001 to Rs 5,00,000 (for established units seeking working capital/machinery).
- Tarun: Loans from Rs 5,00,001 to Rs 10,00,000 (for expansion of running businesses).
- Tarun Plus: Up to Rs 20 Lakh for entrepreneurs who have successfully repaid previous Tarun loans.

## 2. Eligibility Criteria

- Any Indian citizen with a feasible business plan for non-farm income-generating micro enterprises.
- Eligible sectors: Manufacturing, trading, retail, services, transport operators, food processing, artisans.
- Applicant must not be a defaulter to any bank or financial institution.
- Collateral: No collateral security required for loans up to Rs 10 Lakh under Credit Guarantee Fund for Micro Units (CGFMU).

## 3. Required Documents Checklist

1. Aadhaar Card / Voter ID / Passport for identity and address proof.
2. PAN Card of applicant / business entity.
3. Business Address Proof (Shop & Establishment Act certificate, Udyam Registration).
4. Bank account statement for last 6 months.
5. Project Report / Quotation of machinery/equipment to be purchased.
6. Passport-size photographs (2 copies).

## 4. Application Procedure

Step 1: Prepare business plan and determine loan tier (Shishu, Kishore, or Tarun).
Step 2: Apply online at Udyami Mitra portal (https://www.udyamimitra.in) or visit any Public, Private, Regional Rural Bank or NBFC/MFI.
Step 3: Fill MUDRA loan application form and submit business profile with KYC.
Step 4: Bank assesses proposal and sanctions loan within 7-14 working days.
Step 5: MUDRA Debit Card issued for working capital overdraft withdrawal.